A look at how inflation could become even more problematic due to the worsening energy picture, AI bottlenecks and a stronger-than-expected jobs market – and what that would all mean for the central banks



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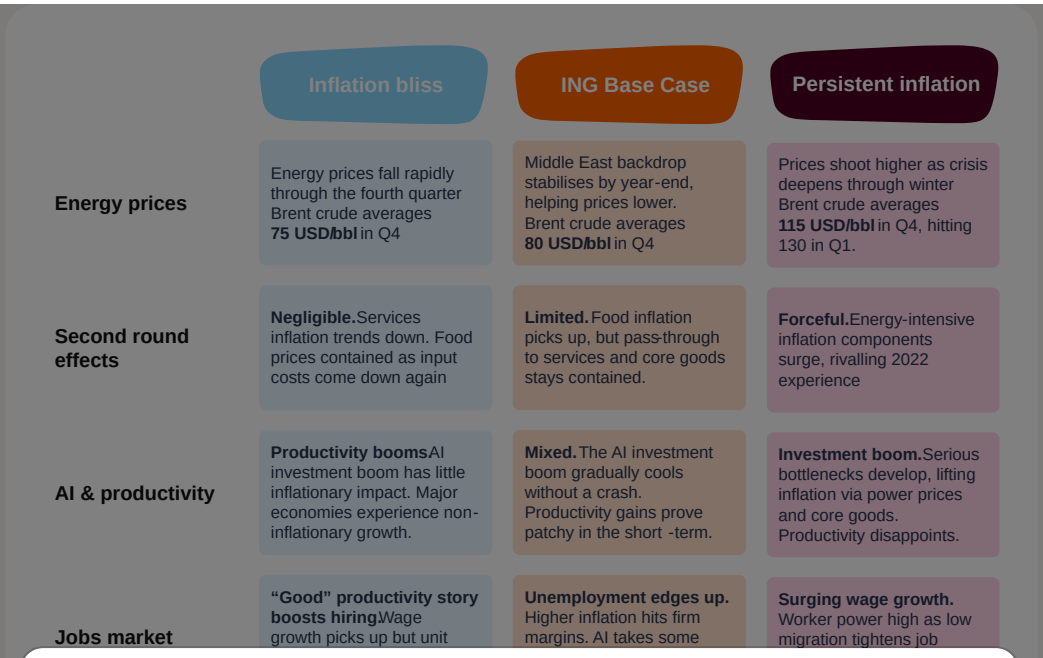
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	Inflation bliss	ING Base Case	Persistent inflation
Energy prices	Energy prices fall rapidly through the fourth quarter Brent crude averages **75 USD/bbl** in Q4	Middle East backdrop stabilises by year-end, helping prices lower. Brent crude averages **80 USD/bbl** in Q4	Prices shoot higher as crisis deepens through winter Brent crude averages **115 USD/bbl** in Q4, hitting 130 in Q1.
Second round effects	**Negligible.** Services inflation trends down. Food prices contained as input costs come down again	**Limited.** Food inflation picks up, but pass-through to services and core goods stays contained.	**Forceful.** Energy-intensive inflation components surge, rivalling 2022 experience
AI & productivity	**Productivity booms** AI investment boom has little inflationary impact. Major economies experience non-inflationary growth.	**Mixed.** The AI investment boom gradually cools without a crash. Productivity gains prove patchy in the short -term.	**Investment boom.** Serious bottlenecks develop, lifting inflation via power prices and core goods. Productivity disappoints.
Jobs market	**"Good" productivity story boosts hiring** Wage growth picks up but unit	**Unemployment edges up.** Higher inflation hits firm margins. AI takes some	**Surging wage growth.** Worker power high as low migration tightens job

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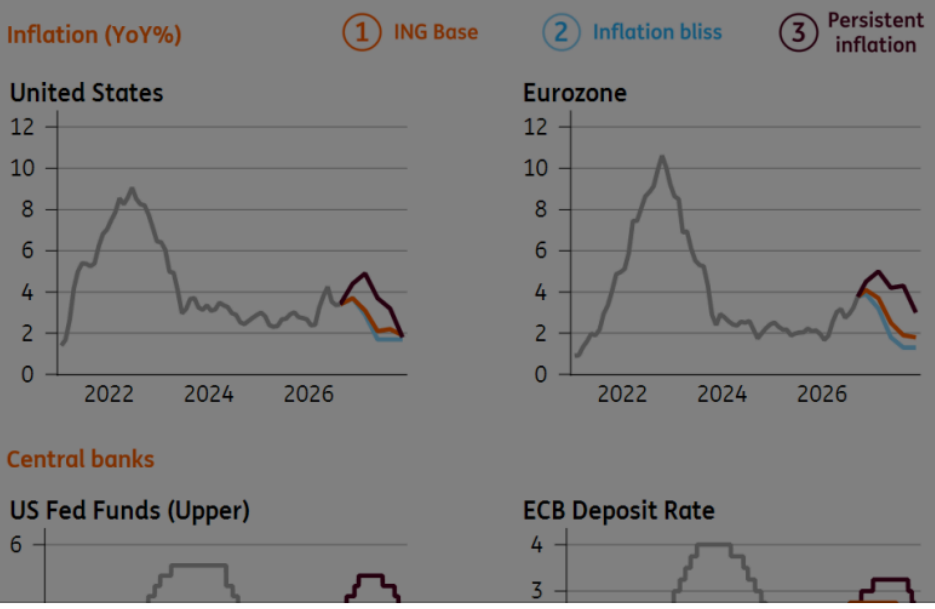
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Three scenarios for inflation and central banks



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Fed Funds Rate (%)	4.0	4.25	4.25	4.25	4.25	4.00	4.00	4.00	3.50	3.25	3.00	4.50	5.00	5.25	5.25	5.00
2Y EUR swap rate (%)	3.40	3.30	3.25	3.15	3.00	2.85	3.10	2.80	2.50	2.10	2.20	4.00	4.50	4.00	3.75	3.00
10Y EUR swap rate (%)	3.55	3.50	3.40	3.35	3.20	3.15	3.40	3.20	2.70	2.30	2.30	4.00	4.30	4.20	4.10	3.90
2Y USD swap rate (%)	4.72	4.50	4.40	4.30	4.05	3.80	4.40	3.80	3.30	3.00	2.40	5.00	6.00	5.50	5.15	4.50
10Y USD swap rate (%)	4.86	4.75	4.75	4.50	4.20	4.20	4.70	4.30	3.50	3.20	2.80	5.25	5.75	5.60	5.50	5.40
EUR/USD	1.11	1.13	1.13	1.16	1.16	1.17	1.14	1.17	1.19	1.19	1.24	1.11	1.06	1.07	1.08	1.09

Source: ING

Scenarios Inflation Central banks

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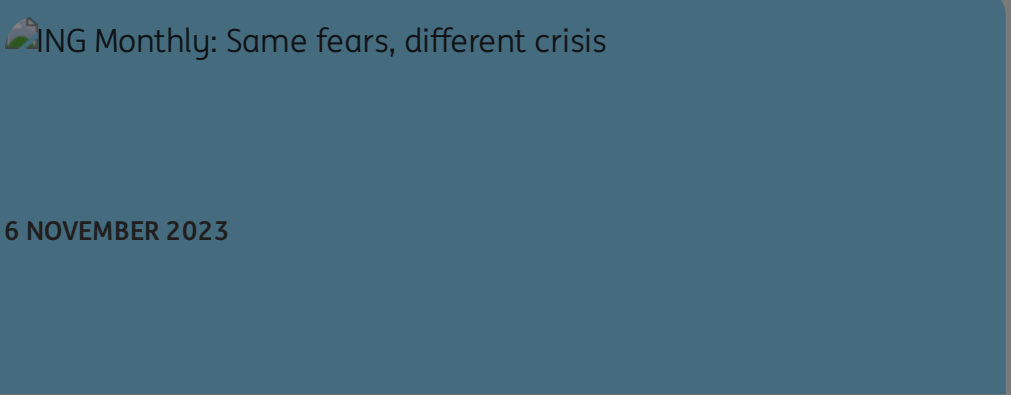
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